

someone who goes to buy a used car. The person who sells the car deposits the money in his savings account at the same bank and all of a sudden there is US\$1,900 in the bank, while the bank is just in the middle of lending out another US\$1,710 to start the cycle again. If we for ease of calculation assume that the bank needs to hold a 10% reserve on deposits, your US\$1,000 adds US\$10,000 to the monetary system by the magic of banking.

In the end, everyone thinks that they have money in the bank but it's all the same money, and the illusion only works until everyone wants to get their money out at the same time. This of course never happens, unless the bank is about to go bankrupt or there is a perception that the bank might go bankrupt, in which case it becomes a self-fulfilling prophecy. What you need to understand about this is just that cash held with a bank is not secure and will be exposed to counter-party risk against said bank. If the bank goes belly-up, you will probably lose all your cash. Still, you do need some cash on the books and a reasonable amount of counter-party risk is the cost of doing business, but you should pick your broker well and not keep too much cash lying around for no reason.

A second reason not to keep all the money lying around in cash is that you receive little to no interest on it. Granted that as of writing this in 2022 the government yields are on a level where the interest income is almost insignificant, but at least you still get a little bit of free money while at the same time reducing risks. The core strategy described in this book normally operates at between 10–20% margin to equity ratio, so we have quite large amounts of money that will never be used. For a US\$10 million fund running this strategy, you can easily keep US\$6 million in government debt securities and probably even more.

Exactly how you keep this excess cash is something you need to think through and plan. I recommend sticking only to government debt with top-tier countries, preferably in your base currency, because it is not worth increasing risk to get a few extra basis points from lesser creditors. If you place the money only with the government that controls your fund's base currency, or in the case of the Euro, the most trusted of the member nations, your risk level is almost nonexistent. Regardless of the state of a nation's economy, a G7 nation will pay back debts in its own currency, because they own the printing presses. The exception is of course the Eurozone, but the strongest nations are still considered quite safe.

It is practical to pick a mix of varying durations to have different dates of expiry and keep rolling. Holding some in shorter-term papers and the bulk